Below Minimum, Below Visible:
Wage Determination Among Informal Domestic Workers in Delhi[1]

The following research note seeks to examine wage determination among informal domestic workers in Delhi using primary survey data collected from 16 female Muslim migrants in Jai Hind Camp, a slum settlement in Delhi. Regressing the log of hourly wages on variables such as the nature of work, education, years since migration, and differential treatment from employers only explains 12 per cent of variation in wages, suggesting that these characteristics have little impact on wages. This piece also compares the wages of these domestic workers with the statutory minimum wage for unskilled labour[2] *in Delhi, finding that 87 per cent of workers (14 out of 16) earn below the legal minimum wage rate. It concludes with a discussion on possible reasons for dispersion and ways to reduce the same.*

Introduction

In India, more than 70% of urban workers are employed informally, performing essential tasks without the protection that formal sector workers receive (PLFS, 2023). Wages are not merely a source of income , but they also indicate how a society values different kinds of work. As per the Code on Wages (2019), an "employee" is broadly defined as "any person employed on wages by an establishment to do any skilled, semi-skilled or unskilled, manual, operational, supervisory, managerial, administrative, technical or clerical work for hire or reward", thereby technically including domestic workers in its definition. The Code on Wages also mandates that "No employer shall pay to any employee wages less than the minimum rate of wages notified by the appropriate Government" (Chapter II, Section 5). The Delhi Government's wage floor for un-skilled labour, as of 2024, stands at Rs 695/- per day (see Table 1). In light of these points, this brief note tries to compare prevailing wages of domestic workers in Delhi to the legal minimum wage to answer a central question – do domestic workers earn what the law mandates? And if violated, is there a variation in their wage levels? We check if the violation is uniform across the sample and study the wage dispersion to understand characteristics that explain lower wages, which thereby has direct implications on policy.

---

[1]*This research note draws upon the findings of a research project titled "Labour Market Outcomes of Female Migrants in Delhi: An Empirical Study" undertaken in May 2025 under the supervision of Prof Anamitra Roy Chowdhury (Jawaharlal Nehru University).*

[2]*We make a comparison between domestic work and unskilled work to make a greater point about precarity and low wage levels of domestic workers, and not because domestic work is considered unskilled.*

Table 1: Minimum Wage Regulation in Delhi

Source: Labour Department, NCT of Delhi (2024) https://labour.delhi.gov.in

Category	Rates as on 01/04/2024 (Rupees)	D.A (pm) w.e.f 01/10/2024 (Rupees)	Rates from 01/10/2024 (Rupees)	
			Per-month	Per-day
Un-skilled	17,988/-	78/-	18,066/-	695/-
Semi-skilled	19,825/-	104/-	19,929/-	767/-
Skilled	21,813/-	104/-	21,917/-	843/-

Background and Context

Jai Hind Camp is a slum settlement situated in South Delhi, nestled between the poshest localities in the city. It houses migrants from Assam and West Bengal, most of whom work as domestic help in the neighbouring areas of Vasant Kunj and Vasant Vihar. The women interviewed, muslim migrants working as domestic workers, find themselves at this intersection of informality, migration, gender, and religion, which further exacerbates their vulnerability.

Defining domestic work and its regulation has long been a point of contention for two main reasons - (a) “home” being the place of employment, and (b) the informal characteristic of domestic work (Neetha 2013). Prior to the implementation of the Code on Wages (2019), domestic work was recognised as a scheduled employment by only a few states in India (primarily Andhra Pradesh, Odisha, Tamil Nadu, Bihar, Kerala, Rajasthan and Jharkhand) under the Minimum Wages Act of 1948. However, each of them defined domestic work on the basis of tasks performed, and the list of tasks varied across states. In the notification provided by each state, the minimum wage rate also differed depending upon the tasks performed. Even today, domestic work is not included in the Schedule of the Minimum Wages Act and is currently an ongoing matter in the Supreme Court. Thus, defining domestic work and wage levels still remains a challenge, both legally and empirically.

Data, Method and Measurement

The primary survey was conducted in April 2025 to study the labour market outcomes of female migrants in Delhi and purposive sampling was used to identify female migrant workers within the Jai Hind Camp. Albeit not intentional, 16 out of the 19 respondents were muslim and domestic workers, a feature reflective of the socio-economic conditions prevailing in the settlement. For the purpose of this research note, our analysis has been limited to the 16 domestic workers in the Jai Hind Camp. It is important to clarify that n=16 is a small sample size, therefore the claims here are not representative of all domestic workers in Delhi, but rather indicative and reflective of experiences of female muslim migrant domestic workers in Jai Hind Camp. For this analysis, *reported* income was taken into account, which should also be viewed with caution.

The survey instrument was divided into four main sections inquiring about demographic characteristics (age, gender, religion education, marital status, years of migration); occupational details (number of labour days, length of working day, earnings, differential treatment from employer); household member details (age, education, employment status, earnings); and the migrant experience which included questions on freedom, agency, safety and loneliness.
For our analysis, we define hourly wages, the dependent variable, obtained by dividing total monthly earnings by days worked and the length of working day. We then compare it to the legal minimum wage for unskilled labour in Delhi (Rs 695/day), converted into hourly wage assuming an 8-hour working day. Delhi's minimum wage doesn't explicitly cover domestic workers, but provides a benchmark for comparison. For further analysis, we take the log form of hourly wages to ensure that coefficients demonstrate percentage changes.

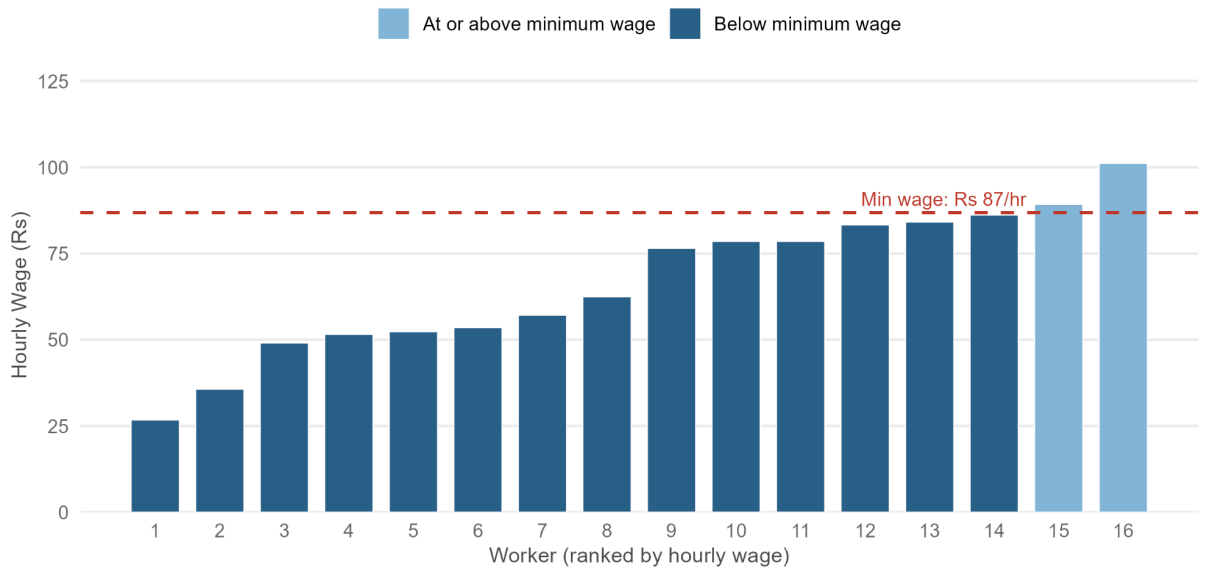
The main independent variables of interest are tasks performed, years of education, years since migration, and differential treatment from employers. Tasks performed are divided into two dummy variables (1 = yes; 0 = no) – cooking and washing utensils. We consider cleaning to be the reference category, the values of which depend on the dummy variables. Years of education takes a numeric value depending on the number of years of schooling, while years since migration tries to measure whether tenure in the labour market has a bearing on wages. Lastly, differential treatment from employers is also measured as a binary variable (1 = yes; 0 = no) based on the perception of the respondent. It is included to measure whether perceived discrimination leads to wage suppression by employers. To find out the factors that determine hourly wages, we use a nested OLS regression, adding more variables in the subsequent models. We examine the impact of tasks performed (model 1), years of education and migration (model 2), and differential treatment from employers (model 3).

Results

Our first preliminary finding is that the majority of respondents (14 out of 16, or 87%) earn a wage lower than the legal minimum for unskilled labour in Delhi (Figure 1). The average worker earns Rs 66.67 (Table 2), which falls short of the minimum wage by 23%. The median hourly wage rate is Rs 69.52, close to the mean value, indicating that the data is not distorted due to extreme values.

Figure 1: Hourly Wages Ranked in Ascending Order

16 female domestic workers, Jai Hind Camp, Vasant Kunj



Two features of the sample are of substantial interest – years of schooling and years since migration. Both are extremely heterogeneous, with years of education ranging from 0 to 10 years, while years since migration ranging from 2 months to 25 years. Years of education has a mean of 5.38 and a standard deviation of 4.36, and a precursory analysis of the range hints at education levels having little influence on wages for the same occupation and demographic characteristics. The average worker has lived in Delhi for 12.06 years – a substantially long time, and yet earns wages below the legal minimum – indicating that suppressed wages is not just a transitional phenomenon, but a structural problem.

Table 2: Summary Statistics

Statistic	N	Mean	St. Dev.	Min	Max
Hourly Wage (Rs)	16	66.67	21.01	26.79	101.19
Monthly Earnings (Rs)	16	10031.25	3904.99	1500	16500
Years of Schooling	16	5.38	4.36	0	10
Years Since Migration	16	12.06	7.33	0.17	25.00
Hours Worked per Day	16	5.50	2.13	2	9

Education = 0 denotes no formal schooling. Sample excludes two non-working respondents and one waste segregation worker.

Table 3 shows the multivariate analysis where we use a log level regression to demonstrate the impact of three sets of covariates. Model 1 consists of task dummies – mainly cooking and cleaning utensils; Model 2 adds years of schooling and years since migration; and Model 3 adds a binary variable for differential treatment from employers.

Table 3: OLS Regression – Determinants of Log Hourly Wage

	Dependent variable:		
	Log Hourly Wage		
	(1)	(2)	(3)
Task: Cooking (=1)	0.085	0.018	0.009
	(0.206)	(0.229)	(0.248)
Task: Utensils (=1)	0.114	-0.129	-0.119
	(0.309)	(0.409)	(0.434)
Years of Schooling		-0.016	-0.015
		(0.026)	(0.029)
Years Since Migration		-0.022	-0.021
		(0.019)	(0.021)
Differential Treatment (=1)			-0.038
			(0.252)
Constant	4.093^{***}	4.501^{***}	4.498^{***}
	(0.146)	(0.387)	(0.406)
Observations	16	16	16
R^2	0.017	0.122	0.124
Note:	$^{*}p<0.1$; $^{**}p<0.05$; $^{***}p<0.01$		
	Reference category: cleaning only. Standard errors in parentheses.		

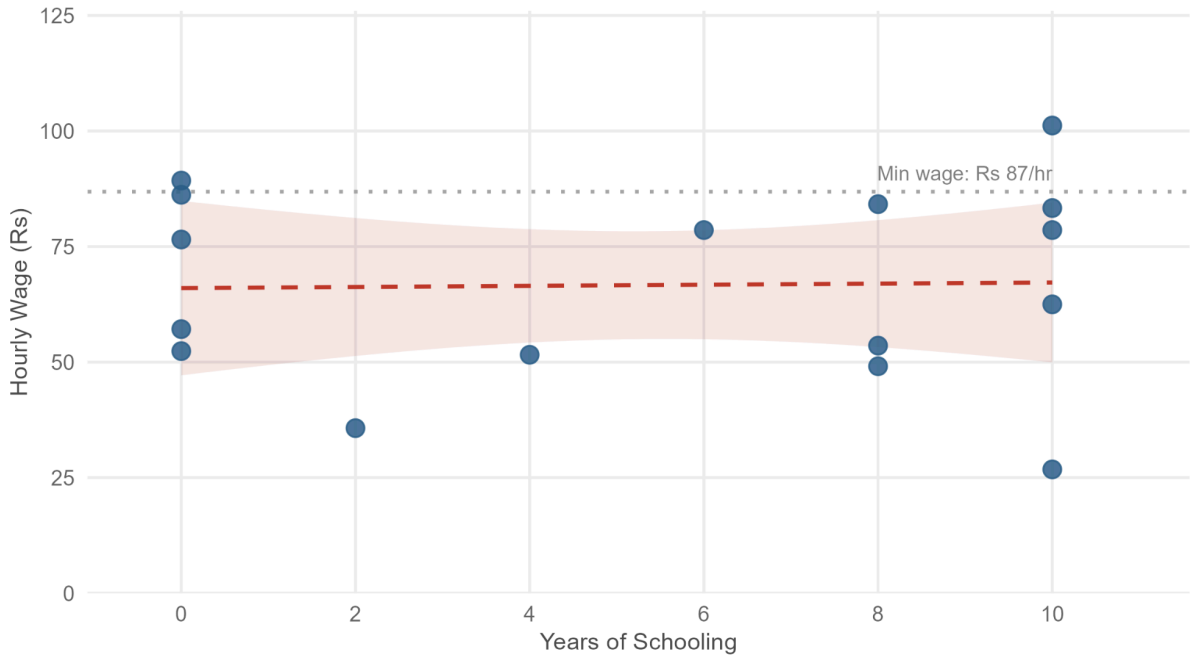
Across all models, we observe statistical insignificance at conventional levels. The value of R^2 increases from 0.017 to 0.124, indicating that the final model merely explains 12% of variation in log hourly wages. The low levels of significance are possibly an outcome of the small sample size, however, informative in its own way, as discussed below.

In Model 1, cooking (0.085, SE 0.206) and utensil washing (0.114, SE 0.309) both have positive coefficients indicating that workers performing these tasks earn 8.5 and 11.4 per cent more per hour respectively than workers who perform only cleaning. None of these coefficients are statistically significant, and an R^2 of 0.017 indicates that task type alone explains virtually none of variation in wages.

In Model 2, the coefficient of years of schooling is negative (-0.016, SE 0.026) implying that each additional year of education is associated with 1.6 per cent lower hourly wages. Although statistically insignificant, this contradicts the general human capital theory prediction that wages rise with education. We also observe that the highest earning worker and the lowest earning worker have the same level of education (Figure 2). Figure 2 represents a scatter plot of education and hourly wage of all 16 workers – showing a confounding result of no relationship between the two variables.

Figure 2: Education and Hourly Wage

16 female domestic workers, Jai Hind Camp, Vasant Kunj



Dashed line: OLS trend with 95% confidence interval.
Dotted line: Delhi minimum wage (unskilled, Rs 87/hr). Education = 0 denotes no formal schooling.

Similarly, the coefficient of years of migration is negative (-0.022, SE 0.019), indicating that each additional year in Delhi leads to lower hourly wages by 2.2 per cent. This again refutes the assumption that longer settlers garner social networks and higher bargaining power which helps them increase their wage level. Among workers in Jai Hind Camp, this ceases to be the case. This shows that once employed, wages and the terms of employment appear to be sticky.

In Model 3, we incorporate the perceived discrimination from employers faced by these workers. Given the religious, gender, and migrant characteristics of the sample studied, this variable seemed an important aspect to study in this context. Again, the coefficient here is negative (-0.038, SE 0.252), implying that the workers who report facing discrimination from employers earn 3.8 per cent less per hour than those who don't.

Discussion

Taking all three models together, the regression results suggest that observable worker characteristics (task type, education and labour market tenure) explain very little variation in wages in the sample. It reflects a peculiar feature of the labour market in question: wages here are not determined by individual productivity-based bargaining. Workers performing more demanding tasks, with more education, and with longer settlement histories do not earn systematically more than those without these characteristics. The evidence points instead toward a labour market in which wages are determined arbitrarily through employer-side networks, at a level structurally disconnected from both productivity and legality.

Two major findings warrant closer attention. The negative point estimate on years of education goes against the human capital theory which predicts that wages rise as level of education increases. A possible explanation for this result could be the negative self selection, as women with higher educational qualifications would opt out of domestic work and seek higher paying opportunities, so those who remain are negatively selected on the basis of education. Similarly, the negative coefficient on migration tenure goes against the hypothesis that longer settled migrants have greater bargaining power and access to social networks on account of their tenure that their counterparts may not have. This implies that wages are set at the point of entry into the market and remain sticky.

Shahana's story illustrates this point. She is 37 years old, and moved to Delhi almost 25 years ago from Cooch Behar, West Bengal, at the tender age of 12. She went to school only till class 8, and was unable to continue her education after migrating. She has been working in three households for the past 8, 15 and 4 years respectively, and expressed her frustration about being paid Rs 1500 for the past 3 years for utensil cleaning, without a hike. Shahana's case is not an outlier, but rather corroborates the negative coefficient finding in Model 2. What looks like a data point, is in fact, a lived reality.

Conclusion

This research note examined wage determination among 16 female Muslim migrant domestic workers in Jai Hind Camp, Vasant Kunj, using primary survey data collected in March 2025. Three findings are particularly interesting, and stand out. First, 14 out of the 16 respondents (87.5%) earn a wage lower than the legal minimum wage rate for unskilled labour. Second - task type, education, and migration tenure variables don't predict wages, and the point estimates for education and migration tenure are negative, which contradict human capital theory and network accumulation hypothesis respectively. Third, the effect of perceived religious discrimination on wages is inconclusive given the sample size, though the evidence is consistent with discrimination operating through non-wage channels. These findings are not incidental, but rather structurally enabled by the legal framework governing domestic work in India. Section 50(4) of the Code on Wages (2019) exempts from its minimum wage provisions any establishment employing fewer than a threshold number of workers, which effectively excludes the vast majority of domestic workers who work in private households on a part-time or multi-employer basis. The minimum wage that 14 of these 16 workers fall below is, in a way, a floor they were never entitled to stand on.

The analysis is not without limitations. The sample of 16 workers from one settlement in Delhi is not representative of Delhi's domestic labour force as a whole. Thus, causal inference is difficult to determine, and the absence of employer-side data makes any demand-side analysis impossible to gauge. A bigger sample covering more representative settlements and collecting employer-side data would further strengthen the evidence base. With those limitations in mind, this research note tries to make a legislative point. It emphasises on the need for a standalone law to protect domestic workers. The concentration of wages below the statutory minimum among long-settled, working-age women in Jai Hind Camp is not a transitional phenomenon, but a structural problem. It is a direct outcome of legal architecture that invisibilises domestic workers. Thus, recognising domestic work as work through wage floors, written contracts and social protection is not solely a policy recommendation, but is essential to see any change in what this research documents.

Author's note

Tripta Behera (tripta.behera02@gmail.com) is a Young Professional at JEEViKA, Government of Bihar, and a postgraduate in Economics from Jawaharlal Nehru University.

References

Code on Wages, 2019 (Act No. 29 of 2019), Sections 5 and 50(4), Government of India. upload.indiacode.nic.in/view-casepdf?type=act&id=AC_CEN_6_0_00035_201929_1608714855550

Guarnizo, L. E., & Rodriguez, G. (2017). Paid domestic work, globalization, and informality. *Population, Space and Place*, *23*(7), e2084.

Neetha, N. (2013). Minimum wages for domestic work: Mirroring devalued housework. *Economic and Political Weekly*, 77-84.

Neetha, N. (2013). Paid domestic work: Making sense of the jigsaw puzzle. *Economic and Political weekly*, *48*(43), 35-38

Periodic Labour Force Survey (PLFS). (2023). Annual Report 2022–23. Ministry of Statistics and Programme Implementation, Government of India.

Rajagopal, K. (2026, January 29). Supreme Court asks States to evolve mechanism to bring domestic workers under minimum wages law. *The Hindu*. https://www.thehindu.com/news/national/supreme-court-refuses-to-issue-directions-to-centre-states-for-welfare-measures-of-domestic-helps/article70564493.ece

Sahu, S. (2023). Evaluating the legal and policy measures in protecting unorganised domestic workers in Delhi. Indian Journal of Public Administration, 69(4), 903-914.

Vasanthi, N. (2011). Addressing paid domestic work: A public policy concern. *Economic and Political Weekly*, 8